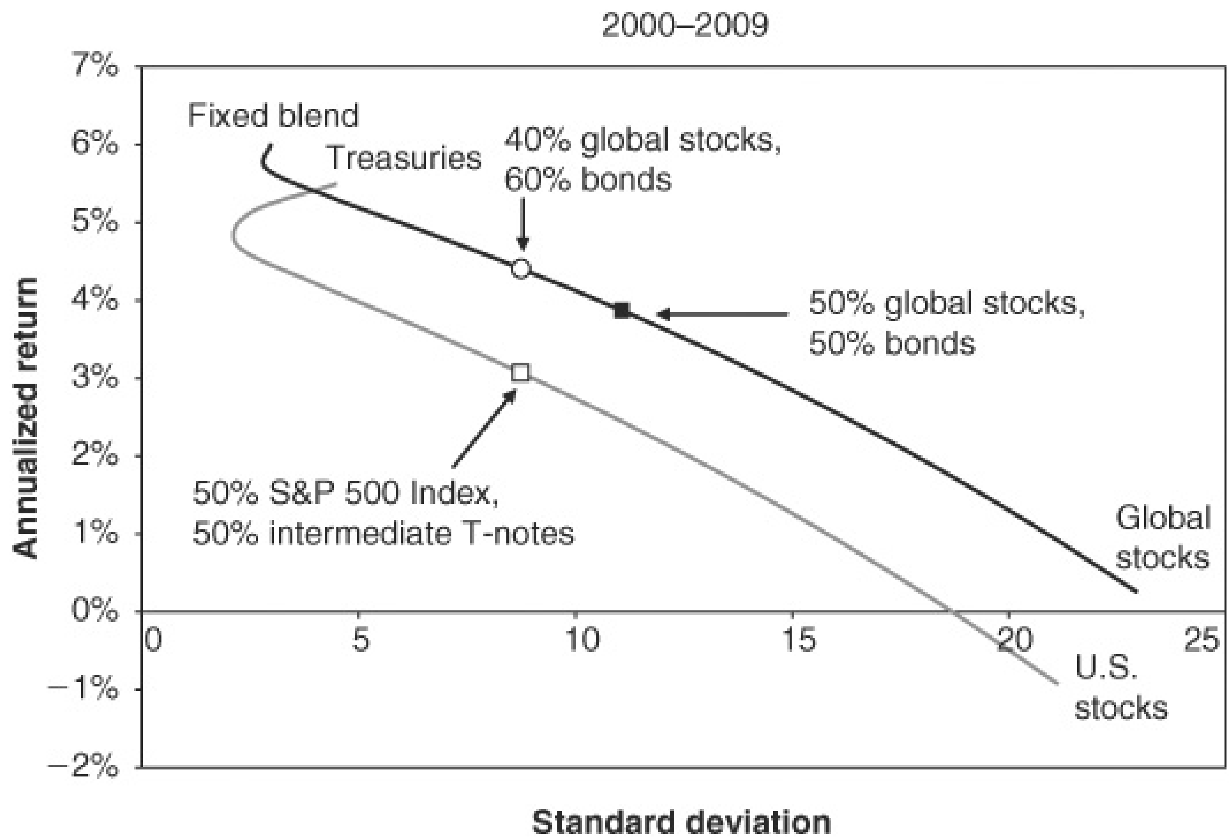

The first decade in the new millennium produced very different investment results from those in the previous decade. The return and risk of multi-asset-class investing was almost exactly the opposite, as illustrated in Figure 4-8. There was a considerable increase in return for investors in international stocks.

Modern portfolio theory reduces the number and size of unpleasant outcomes, but it does not eliminate them. Multi-asset-class investing is an important part of this process. It is important to develop a proper global portfolio that you are comfortable with under all market conditions because you will no doubt experience several disconcerting markets over your lifetime.

CONTINUING THE JOURNEY TO THE NORTHWEST

The quest for a multi-asset-class portfolio is just beginning. We added three new asset classes to U.S. stocks and T-notes: European stocks, Pacific Rim stocks, and U.S. corporate bonds. There are many others that can be added. Part Two of this book establishes parameters for discovering new asset